

Business Impact Analysis (BIA), RPO & RTO

The two numbers that run the world

RPO = Recovery Point Objective: how much data you can afford to lose
("we lose at most 1 hour of transactions")

RTO = Recovery Time Objective: how fast you must be back
("we must be running again within 4 hours")

BIA process

- Inventory business functions (billing, payroll, production, CRM)
- For each: dependency (systems, data, people), peak windows
- Downtime cost: loss/hr (direct) + regulatory + reputation
- Set RPO/RTO per function (not one-size): billing = RTO 2h; analytics = RTO 24h
- Map dependencies (a function's RTO is capped by its weakest dependency)

Classifications

Tier	RTO	RPO	Examples
Bronze	72h	24h	internal wiki, historical reports
Silver	24h	12h	CRM read, payroll approx
Gold	4-8h	1h	billing, patient records
Platinum	<1h	<15min	revenue-critical web, trading

The math

Maximum Tolerable Downtime (MTD) > RTO + RPO + restoration var

Data loss economics: RPO is where you accept data loss; RTO where you measure business impact.

Craft notes

Set RPO/RTO from BUSINESS tolerance, not IT convenience

Validate: test the restore! an RTO declared but untested is a lie

Reassess when business changes

A BIA is the 'what will it cost to be down' number you'll quote in every RFP, every board slide, every incident. Know yours cold.

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